AI Bubble Popping Or A Boring Pullback?

Podcast: Macro trading floor

AI Executive Summary

1. Core Thesis: The podcast discusses a shift in the macro economic landscape where traditional yield dynamics have invertedâ€”bonds are now rallying rather than selling offâ€”and questions whether this signals true market equilibrium or underlying fragility within the AI-driven capex cycle. While US core nominal growth remains historically strong (~6.5%) and tech sectors maintain high borrowing returns (20-30% earnings), the hosts argue that aggregate demand is still inconsistent with 2% core inflation targets, implying rates must rise to restore Federal Reserve credibility. The key debate centers on whether the current financial conditions are sufficient or if the market will enforce tighter yields to cool the economy, despite strong AI-related growth fundamentals.

2. Key Arguments & Data:

3. **Bond Correlation Inversion:** Historically, bond selloffs coincided with equity gains (energy effect). Currently, bond rallies provide portfolio hedging and positive carry as they move opposite to equities due to economic concerns.
4. **AI Growth Model:** The economy operates on a "one-legged stool" model driven by AI capex; wealth from the stock market fuels consumer spending, but the long-term viability relies on unproven productivity booms that could commoditize products (open source/free alternatives from China).
5. **US Economic Fundamentals:**
    - Nominal GDP growth hit 6.5% last quarter (strongest since 1996), driven largely by core consumer spending and tech equipment.
    - Earnings for major hyperscalers are growing at 20-30% year-on-year.
    - Hyperscalers borrow at ~7%, appearing solvent, but smaller or riskier players (e.g., CoreWeave) show CDS blowouts.
6. **Inflation & The Fed:**
    - Core PC is calculated at approximately 3.1% annualized, implying a path toward 2% target requires tighter financial

conditions.
    - The Federal Reserve's Financial Condition Index remains net accommodative despite high inflation data, leading to expectations of minimal rate hikes (<5bps) in October.
    - If the Fed fails to tighten as required by the data, the market will likely enforce this via higher yields and a stronger dollar.
7. **Credit Risks:** The AI credit boom is comparable to the 2005-2007 mortgage boom; roughly $400B-$500B of new debt (inflation-adjusted) is projected next year, which could lead to significant over-leveraged consequences.

8. **Currency Markets:**

    - USD/CAD has a "good news, bad price" setup; CAD weakens due to poor seasonality adjustments despite strong economic data.
    - Euro faces volatility around the French budget vote and expected Moody's downgrade (rated at 160bps two Fridays ago).
    - Market positioning in the USD shows danger zone of too many longs, suggesting potential adjustment soon.

9. Actionable Takeaways:

10. **Portfolio Construction:** Integrate bonds into your portfolio to capture positive carry and hedge against equity volatility, as the inverse correlation between bonds and equities is currently beneficial.
11. **Fed Policy Monitoring:** Focus on the October Fed meeting and Core PC data; anticipate that true equilibrium requires higher yields to cool aggregate demand, even if the market currently expects a dovish outcome.
12. **AI Cycle Risk Management:** Acknowledge binary risks in AI credit cycles; while hyperscalers are profitable, do not ignore potential systemic fragility from interconnected financial structures or bankruptcies (e.g., CoreWeave scenario).
13. **Currency Opportunities:** Consider short positions in USD and long positions in EUR as the "good news, bad price" dynamic favors a USD correction, especially pending French budget vote and Moody's actions.

14. **Avoiding Market Noise:** Do not rely on binary crisis narratives (e.g., 2008 vs. AI catastrophe); instead, treat the situation as a tall tower of debt that is wobbling but requires structural tightening to stabilize.

Full Transcript

the macro trading floor. With me, Alfonso Peccatillo, founder of the Macro Compass and former head of investments at the Large European Bank. And I am Brent Donnelly, president of Spectrum Markets. I've been a portfolio manager, day trader and market maker at the biggest commercial and investment banks in the United States. I'm also the author of Alpha Trader and the Art of Currency Trading. If you want to know what's going on in markets and where they're going, you found the right podcast.

Hi everybody and welcome back to the macro trading floor. Brent and Alf with you as always or I should say Nostradamus Donnelly and Alf with you because the guy shot it in Nasdaq, he picked the top, he took profit and now we can rally again. Ciao Brent. Why don't you teach us how to make money please? What should we do next? Yeah, that was a good trade. I mean, I don't honestly like I'm always happy when I make money and when I do good trades and This one was a bit more public because it was on Twitter. And I got quite a lot of negative feedback on it. So in a way, it does feel good, I guess, my ego. But in the end, I also know after collecting data for 20 years, I make money 50% to 55% of my trades. And so I made money on this one. If you roll a die and it comes up 456.

you know, how excited should you get? I don't know, not that excited. I feel like I have a pretty good ability now after so many years, you know, after so many emotional ups and downs to return to the middle space pretty quick. So anyways, thank you. I'm glad I made money and, you know, it's good to be right, but also I know that I'm wrong all the time. So moving right along, I think the interesting thing about this week is it's just a completely different dynamic, right? That It's not, you know, the theme has been Iran, diesel, oil up, yields up, all that kind of stuff. And it's a completely different theme now. We have, yields are moving the opposite direction. So you have some protection from bonds for the first time in a long time. And I mean, I'll give my thesis, which I think is pretty consensus. So I don't think it's rocket science, but.

The US economy is more and more this one-legged stool, which is AI capex, pushing up growth, pushing up stocks. The wealth effect from stocks creates more consumer strength. Consumers buy more because the top of the K has all the money, you know, 80% of the people or 20% of the people buy 80% of the stuff. So they see the stock market going up. The stock market going up creates revaluation. of earnings for mag seven because mag seven has a lot of cross ownership and every time you know open ai and claud do or are anthropic does around doesn't up around they take an earnings benefits which pushes their stocks up which creates more wealth effect meanwhile all the ai capex is squeezing the um is crowding out every other industry in like a dutch disease kind of process where housing and everything else is getting squeezed out by higher yields, but no high, no level of higher yields will squeeze out AI. If, if you think that the forward returns on AI investment are infinite or at least, you know, 25% a year or 50% a year, then your funding at six, seven or eight doesn't really matter. However, that's just all in theory. And that in reality, there is a point where the whole thing is built on faith, right? Like, we don't have any visibility as to whether these companies are going to make money, whether OpenAI will go bankrupt and Anthropic will succeed, I think would be like a reasonable theory. But we have no idea. And then, you know, how will it impact the real economy? Also, no idea, you know, will it be, I think the initial theory would be it's a demand shock because you need a lot of workers and a lot of stuff. And then it's a supply shock later because you get this glorious productivity boom. But that's all TBD. And then also, can any of these companies make money selling a commoditized product that's potentially open source and free coming out of China, where we've invested a trillion dollars to try to charge people 20 bucks a month to make the money back? So there's so many things that all work in the same direction and are pro cyclical. But then I think everyone kind of knows that it all rests on faith, which is, and that faith is that this stuff will somehow have payback in the future. And everybody also knows that everybody knows that there's a lot of people worried about all the financial interconnections and circular financing and all that stuff. So now when AI wobbles, bonds are rallying, which is something new. And I think that's kind of exciting for someone like Alf, because, you know, there's potential to have a nicer portfolio instead of, you know, for a while, it's just you had to be short bonds and short stocks or or long bonds and long stocks. And, or sorry, you had to be

short short, I'm sorry, you had to be short bonds and long stocks for ages. And now maybe there's some way that you can do some more interesting things and not just stare at the price of oil. Indeed. I was trying to think where where should I pick it up next. So the thing that has impressed me the most is that bonds have been energy for a bit. And now bonds are not energy anymore. Bonds are cost.

Basically, that's what's going on here. So if the cospy sells off then bonds rally and before it used to be foil sells off them bond sell off and so on and so forth now This is good and bad. I would say for portfolio construction. The good thing is that Bonds are tiny bit positive carry compared to the ball. They have it's not really a big positive carry contribution But a bit of positive carry is there and they act as a hedge against equities because equities tend to also mean the cost goes down means equities goes down and it means bonds rally so that's a good thing you know to have a portfolio something in the book with positive carry and hedging properties I'm trying to go back and look through this wobble in Because the Broadcom CEO said that this is a casino. I mean if I try to analyze what's happening. I always like to take a step back and look at my very long time horizons and understand if something fundamental is happening here. And what I see happening is that the Broadcom CEO said that this is a casino and that there is some recurring Chinese news that they might be able to do everything that Anthropic is doing for no cost. But this is like a recurring thing. It's a headline. It comes, you know, every few months. And if I look at this against the fundamental macro data that I look at stacking up, I still don't see Brent how we are not going higher in bond deals. I don't see how nominal growth is deteriorating. I don't see how we have reached the new equilibrium in rates by which credit becomes a problem, growth becomes a problem. I don't see it. And yesterday there was this chart from What's his name? I think Richard Clarida. He used to be at the Fed and is now at PIMCO as an advisor. And he was looking at something I look at also closely, which is the core component of GDP growth. You can use a few series, the ones that I like the most are consumer spending and final sales to private domestic purchasers. Those are generally very stable and very reflective of US domestic consumer spending.

And he was looking at it in nominal terms so the real part plus let's say a core PC or a GDP deflator take an inflation number you want the nominal Run rate of that last quarter has been six and a half percent, which is the strongest quarter since 1996 Some of it is also lifted of course by spending in tech equipment and stuff. That's correct But six and a half percent nominal growth guys core nominal growth I don't see how raising interest rates is passing through US consumers, mortgages. I don't see how the AI credit cycle is hampered yet by these things. Earnings are growing at 30%, 20%, 30%. An all-in borrowing rate for an investment-grade tech company is something along the line of 7% in the 5% to 10-year area. So if I'm borrowing at 7%, My balance sheet looks incredibly good if I'm most companies, not if I'm core weaver or Oracle. It's always easy to pick the worst of the worst in terms of leverage. But if I take my average hyperscaler, my balance sheet looks very solid. I'm borrowing at 7% in the belly of the curve. And I'm printing earnings 20% plus. I just can't see how we have reached the new equilibrium in rates brand. So I want to be the guy that says, yes, there was a wobble. The NASDAQ has gone down.

rates have rallied and I think we're ready to restart again the macro fundamental trend which is rates higher until a new equilibrium is found. And so I'm just looking at the chart of 10s it actually looks like 5% now is it probably decent pivot that was kind of the level for a long time that people were like if yields go about 5% you know all the buildings will fall down and everyone will die and you know we went I guess to 535 so Would that be reasonable? Do you think like if yields went below say 4.9% would you start to get worried that maybe something different is going on? Or you just think the markets could be wrong and maybe we overshoot down to 484. The markets are never wrong. I would say like I look at big weekly resistances and support. I mean I'm a long-term guy so for me daily charts don't make much sense but weekly charts do.

And yes, five was a big pivot for the breakout to 5.35, so I would say if we have a weekly close well below five, then I have to assume that I'm not seeing something, right? I have to assume that something is going wrong. So far, it's Friday morning, and 10 years' treasuries are actually moving up a bit in yields, maybe 5.10 at the moment. It seems we're comfortably above the five line at least for the time being. In general, Brent, the part that

makes me the most anxious is that as a macro manager, a lot of shorter market moves, but also long term market moves will depend on the AI cycle. Right. And that is a fact. I mean, you can't say, no, that's not true. Guys, we are that funding this thing with the trillion. And you can't just say, you know, I always compare inflation adjusted to the housing credit market boom in the US in 2005, 2006, 2007. Back then, we used to create about a trillion of new mortgages or credit product to support the housing boom in the US every year. Inflation adjusted to today, the debt funded part is going to be about four, five hundred billion next year. So that's half the credit, let's say, created by the mortgage boom in the United States. But the mortgage boom was the most ridiculous leverage we have seen in any developed market for leverage experiment from the private sector we have seen in developed market for a long time.

even half the pace of the credit creation of 2006-2007 can lead to very bad consequences or can lead to another major fantastic capex cycle next year that boosts earnings by another 25% year on year. I mean, the outcomes are both possible, right, Brent? And those outcomes are hugely defining on where equity is the dollar and rates trade. So as a macro manager, I'm fighting to try and understand a bit more about this topic, trying to be like the Socrates, you know. I know that I don't know much about this, but I need everybody needs to learn and have a view on this. You can't just hide under the desk. Well, I think that's the problem, too, is that the current fundamentals are strong, but then the sort of potential fragilities are large. So people are trying to get ahead of future fragility with like core-weave CDS blowing out and all that. But also maybe there's a scenario where like Silvergate or whatever where CoreWeave, I'm not saying this is going to happen, but CoreWeave could go under and it actually wouldn't matter. Like I think the current sort of view in the world is either we're going to have like a financial crisis from this AI, you know, too much overbilled similar to 2000 but worse than 2000 in some ways because the financial side of it may be a little bit more and Ron like and a little bit less, you know, Cisco like in that there's a lot of interconnections and all the money is essentially owed by two creditors, which is open AI and and anthropic. And so if they can't IPO because confidence is low and core weaves going bankrupt and or core weaves, you know, yields you can't core core we've can't borrow or et cetera, et cetera.

Does the whole thing kind of start to fall down or you know, maybe you just have some idiosyncratic over levered points in in the credit system For AI and life goes on. There was a few other things this week like So Australia actually has a decent amount of participation in that in this whole AI capex story Like relative to GDP they're they're in the like top of the top five or whatever countries in terms of just like actual data center activity relative to GDP. And the largest IPO there, which I think it would have been the largest one maybe ever or in the last 20 years or something. Anyways, there was supposed to be a huge IPO in Australia and it got canceled because of market conditions. And it does kind of make me wonder. And then Charter or sorry, character.ai went bankrupt as well, I think this week or last week. So.

there is like a little bit of evidence that it's not just core weave. Like there is a little bit of wobbliness out there. Like why with everything basically near the all time highs and you're trying to do an AI CapEx IPO and market conditions aren't good enough to do it. Like I don't know that stinks a little bit. Like I don't know why that would would be the case. So I do feel like there's a couple of things going on like to me it's not like all these red flags and like oh my god it's 2008 but I do think it's not just core weave like I think there is this whole sort of I don't want to say house of cards because that implies it's definitely going to collapse but there is this sort of very very tall tower that's been built with a lot of debt and it is wobbling a tiny little bit and you know, so I do think people ask in questions and maybe repricing a little bit makes sense. But maybe the problem is, which I think is kind of what it comes down to is it is quite binary. And, and that's kind of the difficulty that you're describing, which is there, I'm describing some middle ground where like, okay, maybe core weave goes under and you know, maybe the Nvidia buys all their stuff at a discount and life goes on or whatever. But I think It feels a lot more binary than that. It feels like the entire world is all in when you're calling things an arm race and we have no choice and, you know, half the people in America don't even want this technology, but we have to build it because otherwise China will, you know, there's a 10% chance it'll destroy humanity. And we're wargaming for the inevitable rogue scenario, but we're, but there's no regulation around it. We're just going to assume that there's going to be rogue scenarios and, and then.

deal with it after, you know, it's kind of like the old fed motto of like, let the crisis happen and mop up after instead of actually being proactive. And so I think there's a lot of angst in society about it. And then that makes it feel like this big binary bet in financial markets. And so to me that play is more writing that they're surfing those narratives of confidence or overconfidence or fear and panic and And, you know, so I think right now we're just in like a sort of like a brief wave of panic. You could call it like the deep seek thing or whatever. But underlying, I think there is some there is some reason to be a little bit worried because there are more than there is more than one thing going on. And to me, like open AI's commitments relative to their ability to ever make money in, you know, commoditized thing.

where there's 25 competitors all creating the same thing. The second one of them adds a feature, the other 24 all add the same feature. It just seems like in the long run, they're all going to converge and become the same thing, which is great for potentially for infrastructure and all that because tokens will be free, but it may be not be great for the people on the other end of those commitments. I welcome your opinion Brent. I would like to have such an elaborated one too. I don't but you know these bubbles basically force you to look at this as as a macro manager you either are looking at tails only so you look at credit you know buildups and imbalances and you try to basically make an assessment of these only as a I'm only gonna act on tails basically or you try to have a very informed opinion. I invite everyone to look at it.

very, very closely, including myself. Let me talk about something I'm looking a bit more closely about. I might have some ideas here and there, which is about the Fed and the October meeting and the CPI that just printed. So we have had a core CPI and the PPI components that feed into core PC. By my calculation, we're going to be at about 0.33, if I remember correctly, for core PC, which is quite a number. If you're trying to target 2% inflation, 0.33 is the equivalent of 3.6% inflation if repeated every month. But when you plug it in a year-on-year number that would come out of core PC or a six-month annualized, you get anywhere around 3 to 3.1. So the number the Fed is going to be looking at is...

this inflation prince moves the core PC to 3.1 let's say something like this on a year on year basis right so it's a small bump higher in the wrong direction of course in the wrong direction and it's very interesting to me brand that the market has decided that October is not a hike i mean we're pricing now i think less than five or six basis points because wash this morning didn't talk about the hike in his last interview before the blackout period yeah that was weird right That was quite interesting. It's kind of a weird reaction considering the venue and all that. Why was anyone expecting him to say anything? But then it really makes me think about the path of nominal growth and core inflation really looks to be the one that nominal growth is going to stay at six and core is going to remain around three. It's very hard to basically bring down core 2% unless you generate proper tightening of financial conditions.

And then I looked at the Financial Condition Index that the Federal Reserve itself generates, which I have to assume is the Financial Condition Index they are using right now. And then also Worsh mentioned in this first interview where he talked finally about this framework, which was Jackson Hold, right? Where he refers to all these things he's looking at to assess how financial conditions are today. And I asked my new analyst called Claude, and we had a chat about it before. Because this index is published monthly with quite a delay. So the last publishes end of August, but I wanted to know how does it look today? How does the financial condition index of the Fed looks today after the sell-off, the move higher in yields and whatever? So Claude basically updated it to today. And because it's public methodology, you can look it up on the Federal Reserve Board website.

And the result is that on a one-year and not on a three-year look back the financial condition index after the sell-off after the dollar rally and after bond deals are higher is still net accommodative Now is part of that just because like people don't still people still realize that the Fed is not serious about inflation like look at this came out and then people are you know, so the three-month annualized people are about all back in their holes You know because it doesn't suit and the Fed is back in their hole because the Nasdaq dropped 3%. I don't know. I find it interesting what you're saying because it's true that people just don't take the Fed seriously anymore. And so you have these strong inflation numbers and actually the dollars lower

after both of those inflation numbers, the dollar rallied and then sold off more than it rallied. And after we can talk about FX, but there's some really interesting stuff going on in terms of or good news bad price for the dollar. When I look at the conjunction of all these things and I see that the Fed itself assesses their financial condition index to be still loose against a higher printing core PC, they might not like in October, it's likely they don't at this point, but I still can't see how the Federal Reserve doesn't understand that if they really want inflation at 2%, conditions have to get tighter by their own approach to the problem. You need to tighten financial conditions to get inflation down. Rates have to go higher. There is no other way. Rates have to go higher until you are at an equilibrium point in which aggregate demand slows down enough to bring core inflation to a path towards 2%, which you are not at the moment. So I still believe they might actually, it's actually skipping October. To be honest, Brent, it's counterintuitive to this message.

It's pretty counterintuitive to this message. Yeah, and I don't know I mean a wash will try to sound as ockish as he can but he has Williams coming to the wire saying I don't see a need for any hike in 2027. Okay, I like guys Sorry, but you are you know, you made a bit of a step, but you're still behind the curb if that's your stunts if you want to be credible You need to slow aggregate demand and aggregate demand is way too strong in the United States to be consistent with 2% core inflation at the moment So I still see this as the main paradigm I'm using. I still think ultimately the Federal Reserve has to hand it over to the market and then has to tighten financial conditions, which means they have to have a stronger dollar. They have to hike faster, yields have to be higher. And to be frank, equities will probably, you know, they will do okay if the hiking isn't crazy enough to be ahead of the curve, but there will be some wobbles along the way. So I think that The easy money especially in high beta stocks has been made and now it's more about you know Managing the cycle basically the direction for me is higher yields and higher dollar Doesn't have to be bad for equities But it has to be managed the way that one looks at equity exposure these days. I want to talk about the facts for a bit to close it off Well, so the interesting thing is I'll use dollar CAD as the example because it's the most egregious but Canada's economic data. So there's a problem with Canada's payroll data, which is normally they don't properly seasonally adjust for the

teachers when they come back in September. So 21 of the past 24 September have been strong in Canada. So, you know, everyone's leaning for strong because people know that. And then it came out super weak. So the Canadian dollar got smoked. Dollar CAD goes up to 143 and fails. Then.

CPI and PPI come out dollar CAD rips again obviously higher dollar again up to 143 and fails so you had like essentially the worst possible setup for the Canadian dollar or the best setup for dollar Canada and we're trading 141 50 right now and You can kind of apply that across most of the currencies like Euro went down to 111 10 or something on the on the CPI now we're 1260 so I think It's a pretty interesting good news bad set a good news bad price set up for the dollar where the dollar tried to rally really hard and I think a part of it is positioning our metrics showed last week that you know the dollars in the kind of danger zone of too many longs. So it doesn't necessarily mean that you know euros going back to the highs but I think what it does mean is the French stuff was priced in and you need something new.

And next week we're going to get on the 20th. We're going to get the French budget vote, which will probably fail. And so it'll be interesting to see the price action around that. And then we'll get the Moody's on Friday, the 23rd. And they're going to downgrade France, but that's expected as well. So you kind of have two bad news events that are both kind of expected and priced in. So it'll be super interesting to see what the Euro does because, you know, these are well known things and. To me, it looks like maybe French spreads hit their peak at 160 two Fridays ago, and maybe this whole French thing is kind of done for a while. I mean, the elections in April, I think people are kind of bored of the French story. So I'm constructive on the euro for now or in short dollar CAD I have been for a few days. And I think we're going to get another leg lower in the dollar next week, simply because of the price action and because You got all the good news you could have possibly hoped for on the dollar and the dollar's lower and usually that means that it's it's in trouble for for the short term in the in the bigger picture You know, maybe we'll see how the winter goes for for the energy story in Europe because that's still a huge concern. Absolutely. Yes Also and do it again. It's impossible Fair point on Japan on the dollar the interesting thing was that

the Federal Reserve was supposed to be this new hawkish central bank and now we have core PC pointing in the wrong direction. And there are no signals of a back to back hike in October. So again, again, we have a situation where for the Federal Reserve to really restore credibility, they have to show up in October and hike. And if they don't, then another narrative in support of the dollar gets a bit hit in the face. Positioning in the dollar is now obviously long.

So there can be a bit of adjustment there. I also believe, Brandon, if the Federal Reserve doesn't hike in October, it loosens financial conditions. It's exactly the opposite of what they're supposed to do. And the market has a way to reassert their opinion there, which is probably the long end all over again. So it's really like a whack-a-mole. Basically, it's a whack-a-mole game here if the if the Federal Reserve doesn't stick to tightening financial conditions as they should because the data says they should do it Then I believe the market will do the work for them and and have the long end as a res valve Well, and the frustrating thing is you know, they were adamant that they're gonna restore credibility in June then dovish in July, you know hawkish in August and September I guess and then now dovish again, so it's really like the credibility story that they're trying to push is not it's not working in my book. Like they're they're not gaining any credibility because they just don't seem serious at all about inflation there. It's just the same old Fed. It's it's exactly like the Yellen Fed where yeah, we'll hike if we absolutely are forced, but it'll always be a dovish hike and we'll apologize profusely every time we hike and try not to again.

Then we'll see each other at 10 or 6%. Thank you very much. Just joking, but of course the market has its own release valves to protest against this stance, especially if the Fed says, I'm going to be hawkish now, and then they do these half-hearted things. They're not going to be very well welcomed, I would say. By the market and those big moves in rates will keep making the path ahead for equities not as easy as it was, I think, and also for the dollar. not as easy as they were over the last 12 months or so. I would say that's it for the day. All right, awesome. Thanks everybody for listening. Thank you, Alfonso Pequotiello. Talk soon guys, ciao. The content provided on the Macro Trading Floor podcast is for general

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